

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY
Bachelor of Science in Information Technology (B.Sc. IT)
Semester-II
University Examination May - 2018
CA410 – Fundamentals of Commerce and Business Processes (FCBP)

Date: 14.05.18, Monday **Time:** 10:00 a.m. to 01:00 p.m. **Maximum Marks:** 70

Instructions:

1. Answer to the two sections must be written in the separate answer books.
2. Answer to different questions should start on new page.
3. Figure to the right indicate full marks.
4. Make suitable assumptions wherever necessary & mention them clearly

SECTION – I**Q-1 Do as directed.****(a)** Answer the following multi choice questions.**05**

1. _____ specifies that the value of the Assets owned by the concern is equal to the claims on the Assets.
a) Business Entity b) Matching Concept c) Dual Aspect Concept d) Realization
2. _____ are Person who provide Money or Goods on Credit to the Business.
a) Creditors b) Debtors c) Owner d) None of these
3. Which of the following is the golden rule for debit for the Real Account?
a) Debit what comes in b) Debit the receiver c) Debit expenses or losses d) None of these
4. Cost Reporting includes _____.
a) What to report b) When to report c) Format of report d) All of these
5. The costs that cannot be included in an inventory valuation are _____.
a) Direct materials b) Import duties c) Production overhead d) Administrative cost

(b) State True/False.**03**

1. Assets are always shown at their current Market Value and not at their Cost price.
2. The Accounting Policies and methods followed by the company should be the same every year.
3. Cost center is a location, person or item of equipment for which cost may be ascertained and used for the purpose of cost control.

(c) List and explain the accounting Conventions / Practices.**03****Q-2 Answer the following questions.****(a)** What is Accounting? Explain the objectives of accounting.**06****(b)** List the accounting Concepts / Principles and explain any four principles in detail.**06****(c)** What is periodic inventory system ?**02****OR****Q-2 Answer the following questions.****(a)** Explain personal, real and nominal accounts, with the rule for debit and credit.**06****(b)** What is cost accounting? Explain the objectives of cost accounting.**06****(c)** What is contract costing ?**02**

Q-3 Answer the following questions. (Any one)

- a) Journalize the following transactions , post them in ledger and prepare the trial balance

M. D. as on 1st March 2018

Debit Balance	Rs.	Credit Balance	Rs.
Cash A/c	15,000	Capital A/c	60,000
Bank A/c	12,000	Mr. Chandra A/c	9,000
Stock A/c	14,000		
Zaco A/c	28,000		

March, 2018

- 2 Borrowed Rs.30,000/- from sister Maya for business purpose.
 4 Bought goods from Mr. Chandra for Rs.6,000/- @ 5% trade discount.
 7 Sold goods worth Rs.15,000/- to Mr. ZaCo @ 2% trade discount.
 9 Received Rs.7,000/- from Mr. ZaCo.
 10 Cash deposited into Bank Rs.7,000/-.
 12 Paid Rs.5,000/- to Mr. Chandra by issuing a cheque.
 15 Paid for new equipment of office Rs.4,000/-.
 17 Purchased new furniture for Rs.2,500/- for personal use.
 19 Cash purchases Rs.15,000/- and cash sales Rs.27,100/-.
 22 Paid salaries Rs.1,700/-, rent Rs.1,250/-, commission Rs.800/- by cash.
 26 Withdrew Rs.8,500/- from the business for daughter's marriage by a cheque.
 27 Goods worth Rs.1,000/- withdrawn from the business for house use, out of opening stock.
 31 Paid interest Rs.300/- to sister Maya on borrowings.

- (b) From the following Trial Balance of Shri Ashish Patel prepare the Trading A/c, Profit and Loss A/c, and a Balance sheet for the year ended on 31st March,2018.

Trial Balance as on 31st March, 2018

Particulars	Dr. (Rs.)	Cr. (Rs.)
Machinery	90,000	
Building	50,000	
Stock (01-04-17)	10,200	
Purchases	80,800	
Wages & Salaries	17,000	
Carriage Outwards	3,000	
Sundry Debtors	50,000	
General expenses	9,100	
Rent	1,700	
Bad Debts	650	
Income Tax	600	
Legal Charges	800	
Ashish Patel's Drawing	18,000	
Cash In hand	24,000	
Cash at bank	18,000	
Ashish Patel's Capital		1,20,200
Sundry Creditors		18,000
Bills Payable		23,000
Returns Outwards		1,800
Interest		3,300
Sales		2,07,550
	3,73,850	3,73,850

Adjustments :-

The following adjustments should be taken into consideration :-

- 1) Stock on 31st March,2018 was Rs.70,000/- valued at cost and market price Rs.82,000/-.
- 2) Depreciate Machinery at 10% and Building @ 5%.
- 3) Rent Outstanding Rs.800/-.

SECTION – II

Q-4 Do as directed

(a) Answer the following multi choice questions.

05

1. Financial Management means *planning*, _____, _____ and *controlling* the financial activities.
a) Training, Development b) Measuring, Monitoring c) Organizing, Directing d) None of these
2. The Reserve Bank of India is _____ bank that is fully owned by the Government.
a) Central b) Private c) Co-operative d) None of these
3. The Basic elements of marketing mix are *Product, Price*, _____ and _____.
a) Place, Promotion b) Open, Close market c) Internal, External factors d) None of these

(b) State True/False.

03

1. At Break-even point revenue is equal to total cost.
2. Demand is a state of felt deprivation of some basic satisfaction.
3. Preparation of task force is one of the functions of Human Resource manager.

(c) Explain the role of finance manager.

03

Q-5 Answer the following questions.

(a) Differentiate between Selling and Marketing.

06

(b) List the types of business and explain any two business form with example.

06

(c) What is Human Resource Management?

02

OR

Q-5 Answer the following questions.

(a) Explain the core concepts of marketing with suitable diagram.

06

(b) Explain the evolutionary Phases of banking in India.

06

(c) What is promotional mix?

02

Q-6 Answer the following questions. (Any Two)

10

(a) Use the following information to calculate the ending inventory on March 31,2018 and cost of goods sold using FIFO method.

Mar 1	Beginning Inventory	68 units @ Rs.15.00 per unit
5	Purchase	140 units @ Rs.15.50 per unit
9	Sale	94 units @ Rs.19.00 per unit
11	Purchase	40 units @ Rs.16.00 per unit
16	Purchase	78 units @ Rs.16.50 per unit
20	Sale	116 units @ Rs.19.50 per unit
29	Sale	62 units @ Rs.21.00 per unit

(b) A product currently sells for Rs 12 per unit. The variable costs are Rs 4 per unit, and 10,000 units are sold annually and a profit of Rs 30,000 is realized per year. A new design will increase the variable costs by 20% and Fixed Costs by 10% but sales will increase to 12,000 units per year. (a) At what selling price do we break even, and (b) If the selling price is to be kept same (Rs 12/unit) what will the annual profit be?

(c) Explain any five Operative Functions of Human Resource Management.